

Form No: HCJD/C-121
ORDER SHEET
IN THE LAHORE HIGH COURT, LAHORE
JUDICIAL DEPARTMENT

Case No. W.P. No.8105/2021

Ms. Unaiza Ahmed and another **Versus** Federation of Pakistan, etc.

S.No. of order/ proceeding	Date of order/ Proceeding	Order with signature of Judge, and that of parties of counsel, where necessary
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08.02.2021

M/s Mian Sultan Tanveer Ahmad, Hafiz Mubashar Ullah and Ch. Abdul Majid, Advocates for petitioner.

Mr. Shahzad Ahmad Cheema, Advocate for respondents.

This Constitutional Petition is directed against order dated 21.01.2021, by respondent No.4, whereby petitioner's objections to the show cause Notice dated 04.12.2020 ('SCN') were dismissed. Petitioner earlier approached this court through constitutional petition bearing W.P. No.3305/2021, which was disposed of, vide order dated 19.01.2021, on the request of the petitioner with direction to respondent No.4 to decide the objections raised against SCN. It is per se evident that petitioner acquiesced to the

jurisdiction of the respondent No.4 and felt contended with the direction issued.

2. Facts are simple and straightforward. SCN was issued to the petitioner in exercise of powers under section 22 of Benami Transactions (Prohibition) Act, 2017 ('Act'), wherein petitioner No.1 was alleged as Benamidar of petitioner No.2 – father of the petitioner No.1.

3. Primary ground raised by the petitioner is that by virtue of amendment in the Act, through Amending Statute / Ordinance No. XX of 2019, section 2(31) was added, which defines 'whistleblower' for the purposes of filing complaint or provisioning of information. It is argued that complaint / information can only be filed by the whistleblower if property, subject matter of allegations of benami, is in relation to the commission of offences with respect to the laws listed under section 2(31) of the Act.

Further contended that no such offence, with respect to the accounts in question – treated as property – was alleged against the person of the petitioner No.1, hence, SCN is without jurisdiction and proceedings are of no legal effect. Learned counsel emphasized that purpose of the Amending Statute / Ordinance 2019 is to restrict the scope of complaint / information to the extent of offences coming within the ambit of enactments referred in section 2(31) of the Act. Reference is made to the decisions reported as Habib Bank Ltd. V. WRSB Trading Company, LLC. and others (2018 CLD 1282), Tanveer Asim V. Pakistan Institute of Fashion and Design, Lahore and others (2020 PLC (C.S.) 1537, Dilawar Hussain and others v. Province of Sindh and others (PLD 2016 Supreme Court 514), Mst. Fehmida Begum V. Federation of Pakistan through Secretary, Federal Secretariat, Islamabad and 6 others (PLD 2000 Lahore

602), Messrs Forbes Forbes & Campbell, Co. through Company Secretary V. Messrs Ebrahim Trust through Managing Trustee and 2 others (PLD 2010 Karachi 170), Federation of Pakistan through Ministry of Finance and others V. M/s Noori Trading Corporation (Private) Limited and 14 others (1992 SCMR 710) and Ehsan-ul-Haq V. MCB Bank Limited through Manager (2016 CLD 1874).

4. Arguments heard. It is expedient to reproduce section 2(31) and section 22 – in terms whereof SCN was issued - of the Act, for ease of reference, which read as:-

2(31) “whistleblower” includes a person, entity, or an agency who files a complaint under any law for the time being in force or otherwise gives information under this Act, with regard to the existence of any property held as benami in relation to the commission of offences:-

- (a) of corruption and corrupt practices under the National Accountability Ordinance, 1999 (No.XVIII of 1999);*
- (b) of a scheduled offence under Federal Investigation Agency Act, 1974 (Act No.VIII of 1975);*

- (c) *under the Anti-Money Laundering Act, 2010 (Act No.VII of 2010);*
- (d) *under the Securities Act, 2015 (Act No.III of 2015) in relation to public listed companies;*
- (e) *cognizable under the Federal and Provincial anti-corruption laws”.*

22. Notice and attachment of property involved in benami transaction.---(1) *Where the initiating Officer, on the basis of material in his possession, has reason to believe that any person is a benamidar in respect of a property, he may, after recording reasons in writing, issue a notice to such person to show cause, within such time as may be specified in the notice, as to why such property should not be treated as benami property.*

(2) *The Initiating Officer shall serve copy of the notice issued under subsection (1) upon such other person who is a beneficial owner.*

(3) *Where the Initiating Officer is of the opinion that the person in possession of the property held benami may alienate such property during the period specified in the notice, he may, with the prior approval of the Approving Authority and by order in writing, attach provisionally property in the manner as may be prescribed, for a period not exceeding ninety days from the date of issue of notice under subsection (1).*

(4) *The Initiating Officer, after making such inquires and calling for such reports or evidence as he deems it and taking into account all relevant materials, shall, within a period of ninety days from the date of issue of notice under subsection (1), -*

(a) where the provisional attachment has been made under subsection (3),

(i) pass an order continuing the provisional attachment of the property with the prior approval of the Approving Authority, till the passing of the order made by the Adjudicating Authority under subsection (3) of section 24; or

(ii) revoke the provisional attachment of the property with the prior approval of the Approving Authority;

(b) where provisional attachment has not been made under subsection (3);

(i) pass an order provisionally attaching the property with the prior approval of the Approving Authority, till the date of passing of the order by the Adjudicating Authority under subsection (3) of section 24; or

(ii) decide not to attach the property as specified in the notice, with the prior approval of the Approving Authority.

(5) Where the Initiating Officer passes an order continuing the provisional attachment of the property under sub-clause(i) of clause (a) of subsection (4) or passes an order provisionally attaching the property under sub-clause (i) of clause (b) of that subsection, he shall, within sixty days from the date of the attachment, draw up a statement of the case and refer it to the Adjudicating Authority”.

[Emphasis supplied]

5. SCN was issued under section 22 (1) of the Act, in terms whereof initiating officer is competent and eligible – subject to grant of

approval by the Approving Authority – to issue notice, on the basis of material in his possession and having reason to believe that person is Benamidar with respect to the property under reference. It is evident from the contents of SCN that initiating officer is in possession of material and has had reason to believe, whereupon written notice was issued. There is no objection qua exercise of jurisdiction by respondent No.4, but the objection is that property claimed to be held as benami does not bear any relation with commission of the offences, referred in section 2 (31) of the Act.

6. The proposed construction advocated by learned counsel with respect to section 2(31) of the Act is bordering absurdity. Section 2 (31) – definition clause - has to be read and interpreted, subject to the stipulation '*unless there is anything repugnant in the subject or context*'. The context of the Act is clear and

obvious, section 22 of Act entitles an initiating Officer to issue notice, subject to having material in possession and reason to believe that some person is a Benamidar of other person. Exercise of jurisdiction by the initiating officer is not subject to or dependent upon the gist / context of the complaint filed or information supplied. It would be an extreme absurdity to hold that initiating officer would first determine the factum of offences committed, under relevant statutes and thereafter – subject to the requirement of grant of approval under section 21 – issue notice. It is for the first petitioner to establish that property held was not as Benamidar of second petitioner, during the course of which proceedings status of the property – accounts – would be determined. And if it is found / established that property is held as Benamidar of second petitioner, law will take its course. By no stretch of imagination or upon

invoking any principle of statutory interpretation, section 2(31) of the Act be held to control and regulate section 21 and 22 of the Act – conferring jurisdiction accordingly. The argument suffers from another fatal defect. The argument raised implies that whistleblower shall first undertake self-determination to ascertain that whether property alleged as benami, bears some relation to any of the offences mentioned and thereafter file complaint or provide information, which clearly defeats the purpose of the Act. I restraint from making any comment qua the contents of the SCN, which would likely to prejudice petitioners during the course of determination of the status of the property – accounts in question. The judgments relied upon by learned counsel for petitioner are distinguishable, which have no application to the facts and circumstances of the case. Issuance of SCN has neither defeated the purpose of the Act

nor violated any provision thereof. The initiating officer after performing its functions, under section 22 of the Act, would draw up a statement of the case for reference to Adjudicator, having power to adjudicate in terms of section 24 of the Act. And upon conclusion of such adjudication the status of the first petitioner and the property in question would be conclusively settled. No case for any jurisdictional defect or patent illegality is made out, calling for interference in exercise of constitutional jurisdiction.

Any interference in exercise of constitutional jurisdiction would otherwise prejudice the remedy of appeal, provided in terms of section 47 of the Act, whereby appeal has to be heard by a Bench of not less than two judges of the High Court.

7. In view of above, this petition is incompetent and same is, therefore, **dismissed**.

(ASIM HAFEEZ)
JUDGE

Imran/*

Approved for reporting.

JUDGE.